



INDIAN LAW & DEALMAKING · 3 OCTOBER 2026

Five moves shaping the board now.

- › SBI doubles NARCL bad bank stake to 27 percent
- › JSW Energy secures GE Power thermal business transfer
- › Bombay High Court upholds unconditional bank guarantee invocation
- › ED attaches 210 crore real estate assets under PMLA
- › SEBI fines SMC Global for unpermitted payout structures

SWIPE →



SBI doubles stake in NARCL bad bank

State Bank of India acquired an additional 13.82 percent stake in National Asset Reconstruction Company Limited for 138.2 crore rupees on 2 October 2026. The acquisition increases SBI equity shareholding in the state-backed asset reconstruction entity to 27.27 percent.

THE READ

The expansion signals public sector lender consolidation behind the state bad bank framework to streamline large stress resolutions. Dealmakers should expect NARCL to wield greater capital backing when pricing complex NPA portfolio acquisitions.



RESTRUCTURING · NCLT

02 / 05

JSW Energy approves GE Power thermal business demerger

NCLT Mumbai Bench sanctioned the scheme of arrangement between GE Power India Limited and JSW Energy Limited on 1 October 2026. The order facilitates the formal transfer and demerger of GE Power thermal power equipment operations to JSW Energy.

THE READ

The structural carve-out enables clean asset transfer while carving out operational liabilities under tribunal supervision. Energy sector counsel must structure similar asset separations using court-sanctioned schemes to ensure binding operational continuity.



COMMERCIAL · HIGH COURT

03 / 05

Bombay High Court refuses bank guarantee stay

The Bombay High Court refused an interim stay on a performance bank guarantee invocation between a private infrastructure developer and a public sector undertaking on 2 October 2026. The Commercial Division reiterated that judicial intervention remains barred absent clear operational fraud.

THE READ

The ruling reinforces the absolute independence of performance bank guarantees in commercial infrastructure contracts. General counsel must realize that injunction thresholds against unconditional guarantees remain extraordinarily high absent egregious fraud.



ENFORCEMENT · PMLA

04 / 05

ED attaches 210 crore real estate assets

The Enforcement Directorate expanded its money laundering probe on 1 October 2026 by attaching commercial real estate assets worth over 210 crore rupees under PMLA. The action targets commercial inventory tied to an ongoing real estate investigation.

THE READ

Enforcement authorities continue aggressively targeting underlying real estate inventory under anti-money laundering statutes. Corporate boards must conduct rigorous PMLA title tracing before acquiring commercial real estate assets connected to promoter investigations.



SEBI penalises SMC Global over record lapses

SEBI issued an adjudication order fining SMC Global Securities Limited on 1 October 2026 for regulatory non-compliance. The regulator cited unpermitted fixed payout distributions of 1.84 crore rupees alongside failure to maintain client order records.

THE READ

Regulatory scrutiny on intermediary payout arrangements and mandatory order audit trails is intensifying. Compliance teams at stockbroking entities must audit authorized person arrangements to eliminate unpermitted return guarantees.



THE THROUGH-LINE

Across corporate dealmaking and regulatory enforcement, Indian forums are enforcing strict statutory boundaries while facilitating formal consolidation. From high court deference to unconditional bank guarantees to tribunal sanctions for corporate demergers, commercial stability rests on rigid procedural compliance. Boards and dealmakers must navigate a landscape where regulatory enforcement against compliance failures operates alongside court-sanctioned corporate restructurings.





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